

1 ENGROSSED HOUSE
2 BILL NO. 3721

By: Kelley and Deck of the
House

3 and

4 Frix of the Senate
5
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7 An Act relating to retirement; amending 62 O.S. 2021,
8 Section 3103, as last amended by Section 2, Chapter
9 361, O.S.L. 2024 (62 O.S. Supp. 2025, Section 3103),
10 which relates to the Oklahoma Pension Legislation
11 Actuarial Analysis Act; modifying terms; amending 11
12 O.S. 2021, Sections 49-106.1, as last amended by
13 Section 2, Chapter 151, O.S.L. 2023, and 50-111.3 (11
14 O.S. Supp. 2025, Section 49-106.1), which relate to
15 deferred option plans; amending 47 O.S. 2021, Section
16 2-305.2, as amended by Section 1, Chapter 80, O.S.L.
2022 (47 O.S. Supp. 2025, Section 2-305.2), which
relates to deferred option plans; modifying
provisions related to deferred option plans;
permitting certain individuals to make certain
election; defining term; providing for calculation of
certain benefit; providing effective dates; providing
for contingent effective dates based on outcome of
approval of the emergency clause; and declaring an
emergency.

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19 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

20 SECTION 1. AMENDATORY 62 O.S. 2021, Section 3103, as
21 last amended by Section 2, Chapter 361, O.S.L. 2024 (62 O.S. Supp.
22 2025, Section 3103), is amended to read as follows:

23 Section 3103. As used in the Oklahoma Pension Legislation
24 Actuarial Analysis Act:

1 1. "Amendment" means any amendment, including a substitute
2 bill, made to a retirement bill by any committee of the House of
3 Representatives or Senate, any conference committee of the House or
4 Senate or by the House or Senate;

5 2. "RB number" means that number preceded by the letters "RB"
6 assigned to a retirement bill by the respective staffs of the
7 Oklahoma State Senate and the Oklahoma House of Representatives when
8 the respective staff office prepares a retirement bill for a member
9 of the Legislature;

10 3. "Legislative Actuary" means the firm or entity that enters
11 into a contract with the Legislative Service Bureau pursuant to
12 Section 452.15 of Title 74 of the Oklahoma Statutes to provide the
13 actuarial services and other duties provided for in the Oklahoma
14 Pension Legislation Actuarial Analysis Act;

15 4. "Nonfiscal amendment" means an amendment to a retirement
16 bill having a fiscal impact, which amendment does not change any
17 factor of an actuarial investigation specified in subsection A of
18 Section 3109 of this title;

19 5. "Nonfiscal retirement bill" means a retirement bill:

- 20 a. which does not affect the cost or funding factors of a
21 retirement system,
- 22 b. which affects such factors only in a manner which does
23 not:

- (1) grant a benefit increase under the retirement system affected by the bill,
 - (2) create an actuarial accrued liability for or increase the actuarial accrued liability of the retirement system affected by the bill, or
 - (3) increase the normal cost of the retirement system affected by the bill,
- c. which authorizes the purchase by an active member of the retirement system, at the actuarial cost for the purchase as computed pursuant to the statute in effect on the effective date of the measure allowing such purchase, of years of service for purposes of reaching a normal retirement date in the applicable retirement system, but which cannot be used in order to compute the number of years of service for purposes of computing the retirement benefit for the member,
- d. which provides for the computation of a service-connected disability retirement benefit for members of the Oklahoma Law Enforcement Retirement System pursuant to Section 2-305 of Title 47 of the Oklahoma Statutes if the members were unable to complete twenty (20) years of service as a result of the disability,
- e. which requires membership in the defined benefit plan authorized by Section 901 et seq. of Title 74 of the

Oklahoma Statutes for persons whose first elected or appointed service occurs on or after November 1, 2018, if such persons had any prior service in the Oklahoma Public Employees Retirement System prior to November 1, 2015,

f. which provides for a one-time increase in retirement benefits if the increase in retirement benefits is not a permanent increase in the gross annual retirement benefit payable to a member or beneficiary, occurs only once pursuant to a single statutory authorization and does not exceed:

(1) the lesser of two percent (2%) of the gross annual retirement benefit of the member or One Thousand Dollars (\$1,000.00) and requires that the benefit may only be provided if the funded ratio of the affected retirement system would not be less than sixty percent (60%) but not greater than eighty percent (80%) after the benefit increase is paid,

(2) the lesser of two percent (2%) of the gross annual retirement benefit of the member or One Thousand Two Hundred Dollars (\$1,200.00) and requires that the benefit may only be provided if the funded ratio of the affected retirement

1 system would be greater than eighty percent (80%)
2 but not greater than one hundred percent (100%)
3 after the benefit increase is paid,

4 (3) the lesser of two percent (2%) of the gross
5 annual retirement benefit of the member or One
6 Thousand Four Hundred Dollars (\$1,400.00) and
7 requires that the benefit may only be provided if
8 the funded ratio of the affected retirement
9 system would be greater than one hundred percent
10 (100%) after the benefit increase is paid, or

11 (4) the greater of two percent (2%) of the gross
12 annual retirement benefit of the volunteer
13 firefighter or One Hundred Dollars (\$100.00) for
14 persons who retired from the Oklahoma
15 Firefighters Pension and Retirement System as
16 volunteer firefighters and who did not retire
17 from the Oklahoma Firefighters Pension and
18 Retirement System as a paid firefighter.

19 As used in this subparagraph, "funded ratio" means the
20 figure derived by dividing the actuarial value of
21 assets of the applicable retirement system by the
22 actuarial accrued liability of the applicable
23 retirement system,
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- 1 g. which modifies the disability pension standard for
2 police officers who are members of the Oklahoma Police
3 Pension and Retirement System as provided by Section
4 50-115 of Title 11 of the Oklahoma Statutes,
5 h. which provides a cost-of-living benefit increase
6 pursuant to the provisions of:
7 (1) Section 49-143.7 of Title 11 of the Oklahoma
8 Statutes,
9 (2) Section 50-136.9 of Title 11 of the Oklahoma
10 Statutes,
11 (3) Section 1104K of Title 20 of the Oklahoma
12 Statutes,
13 (4) Section 2-305.12 of Title 47 of the Oklahoma
14 Statutes,
15 (5) Section 17-116.22 of Title 70 of the Oklahoma
16 Statutes,
17 (6) Section 930.11 of Title 74 of the Oklahoma
18 Statutes,
19 i. which modifies the computation of the line-of-duty
20 disability benefit pursuant to the provisions of this
21 section and Sections 50-101 and 50-115 of Title 11 of
22 the Oklahoma Statutes, ~~or~~
23 j. which authorizes membership in the Oklahoma Law
24 Enforcement Retirement System for active commissioned

1 or CLEET-certified agents of the Office of the
2 Attorney General or the Military Department of the
3 State of Oklahoma pursuant to Sections ~~3~~ 2-309.9 and ~~4~~
4 2-309.10 of ~~this act~~ Title 47 of the Oklahoma
5 Statutes, or

6 k. which authorizes certain individuals to make certain
7 election related to the Oklahoma Firefighters Deferred
8 Option Plan, the Oklahoma Police Deferred Option Plan,
9 or the Oklahoma Law Enforcement Deferred Option Plan,
10 pursuant to Sections 2, 3, and 4 of this act.

11 A nonfiscal retirement bill shall include any retirement bill that
12 has as its sole purpose the appropriation or distribution or
13 redistribution of monies in some manner to a retirement system for
14 purposes of reducing the unfunded liability of such system or the
15 earmarking of a portion of the revenue from a tax to a retirement
16 system or increasing the percentage of the revenue earmarked from a
17 tax to a retirement system;

18 6. "Reduction-in-cost amendment" means an amendment to a
19 retirement bill having a fiscal impact which reduces the cost of the
20 bill as such cost is determined by the actuarial investigation for
21 the bill prepared pursuant to Section 3109 of this title;

22 7. "Retirement bill" means any bill or joint resolution
23 introduced or any bill or joint resolution amended by a member of
24 the Legislature which creates or amends any law directly affecting a

1 retirement system. A retirement bill shall not mean a bill or
2 resolution that impacts the revenue of any state tax in which a
3 portion of the revenue generated from such tax is earmarked for the
4 benefit of a retirement system;

5 8. "Retirement bill having a fiscal impact" means any
6 retirement bill creating or establishing a retirement system and any
7 other retirement bill other than a nonfiscal retirement bill; and

8 9. "Retirement system" means the Teachers' Retirement System of
9 Oklahoma, the Oklahoma Public Employees Retirement System, the
10 Uniform Retirement System for Justices and Judges, the Oklahoma
11 Firefighters Pension and Retirement System, the Oklahoma Police
12 Pension and Retirement System, the Oklahoma Law Enforcement
13 Retirement System, or a retirement system established after January
14 1, 2006.

15 SECTION 2. AMENDATORY 11 O.S. 2021, Section 49-106.1, as
16 last amended by Section 2, Chapter 151, O.S.L. 2023 (11 O.S. Supp.
17 2025, Section 49-106.1), is amended to read as follows:

18 Section 49-106.1. A. In lieu of terminating employment and
19 accepting a service retirement pension pursuant to Sections 49-101
20 and 49-106 of this title, any member of the Oklahoma Firefighters
21 Pension and Retirement System serving as an active firefighter in a
22 fire department of a participating municipality who has not less
23 than twenty (20) years of creditable service may elect to
24 participate in the Oklahoma Firefighters Deferred Option Plan and

1 defer the receipts of benefits in accordance with the provisions of
2 this section.

3 B. For purposes of this section, creditable service shall
4 include service credit reciprocally recognized pursuant to Sections
5 49-100.1 through 49-100.8 and Sections 49-101, 49-101.1 and 49-101.2
6 of this title but for eligibility purposes only.

7 C. The duration of participation in the Oklahoma Firefighters
8 Deferred Option Plan for active firefighters shall not exceed five
9 (5) years. Participation in the Oklahoma Firefighters Deferred
10 Option Plan must begin the first day of a month and end on the last
11 day of a month. At the conclusion of a member's participation in
12 the Oklahoma Firefighters Deferred Option Plan, the member shall
13 terminate employment with all participating municipalities as a
14 firefighter, and shall start receiving the member's accrued monthly
15 retirement benefit from the System. Such a member may be reemployed
16 by a participating municipality but only in a position not covered
17 under the System, and receive in-service distributions of such
18 member's accrued monthly retirement benefit from the System.

19 D. When a member begins participation in the Oklahoma
20 Firefighters Deferred Option Plan, the contribution of the member
21 shall cease. The employer contributions shall continue to be paid
22 in accordance with subsection B of Section 49-122 of this title.
23 Employer contributions for members who elect the Oklahoma
24 Firefighters Deferred Option Plan shall be credited equally to the

1 Oklahoma Firefighters Pension and Retirement System and to the
2 member's Oklahoma Firefighters Deferred Option Plan account. The
3 monthly retirement benefits that would have been payable had the
4 member elected to cease employment and receive a service retirement
5 shall be paid into the member's Oklahoma Firefighters Deferred
6 Option Plan account.

7 E. 1. A member who participates in this plan shall be eligible
8 to receive cost-of-living increases.

9 2. A member who participates in this plan shall earn interest
10 at a rate of two percentage points below the rate of return of the
11 investment portfolio of the System, but no less than the actuarial
12 assumed interest rate as certified by the actuary in the yearly
13 evaluation report of the actuary. The interest shall be credited to
14 the individual account balance of the member on an annual basis.

15 3. Effective November 1, 2013, the Oklahoma Firefighters
16 Deferred Option Plan account for a member whose first service with a
17 participating municipality of the System occurs on or after November
18 1, 2013, and who participates for the first time in the Oklahoma
19 Firefighters Deferred Option Plan on or after November 1, 2013, and
20 has completed active participation in the Oklahoma Firefighters
21 Deferred Option Plan, shall earn interest at a rate equal to the
22 actual rate of return of the investment portfolio of the System,
23 less one (1) percentage point to offset administrative costs of the
24 System as determined by the System.

1 F. A member in the plan shall receive, at the option of the
2 member, a lump-sum payment from the account equal to the payments to
3 the account or an annuity based upon the account of the member or
4 may elect any other method of payment if approved by the Board of
5 Trustees. If a member becomes so physically or mentally disabled
6 while in, or in consequence of, the performance of his or her duty
7 as to prevent the effective performance of his or her duties that
8 the State Board approves an in-line-of-duty disability pension, the
9 payment from the account shall be an in-line-of-duty disability
10 payment. Notwithstanding any other provision contained herein to
11 the contrary, commencement of distributions under the Oklahoma
12 Firefighters Deferred Option Plan shall be no later than the time as
13 set forth in subsection B of Section 49-106 of this title and a
14 member whose first service with a participating municipality of the
15 System occurs on or after November 1, 2013, and who participates for
16 the first time in the Oklahoma Firefighters Deferred Option Plan on
17 or after November 1, 2013, must receive a distribution of the entire
18 remaining balance in the member's Oklahoma Firefighters Deferred
19 Option Plan account no later than April 1 of the calendar year
20 following the later of:

21 1. The calendar year in which the member reaches seventy and
22 one-half (70 1/2) years of age for a member who attains age seventy
23 and one-half (70 1/2) before January 1, 2020, or effective for
24 distributions required to be made after December 31, 2019, but

1 before January 1, 2023, the calendar year in which the member
2 reaches seventy-two (72) years of age for an individual who attains
3 age seventy and one-half (70 1/2) after December 31, 2019, or
4 effective for distributions required to be made after December 31,
5 2022, the calendar year in which the member reaches seventy-three
6 (73) years of age for an individual who attains age seventy-two (72)
7 after December 31, 2022, or "the applicable age", as defined in
8 Section 401(a)(9)(C)(v) of the Internal Revenue Code of 1986, as
9 amended, if later; or

10 2. The actual retirement date of the member.

11 G. If a member dies while maintaining an account balance in the
12 plan the System shall pay to the designated recipient or recipients
13 of the member, or if there is no designated recipient or if the
14 designated recipient predeceases the member, to the spouse of the
15 member, or if there is no spouse or if the spouse predeceases the
16 member, to the estate of the member a lump-sum payment equal to the
17 account balance of the member. If such member was receiving, or
18 eligible to receive, an in-line-of-duty disability pension at the
19 time of his or her death, payment of the account balance shall be an
20 in-line-of-duty disability payment. If a designated recipient is
21 the surviving spouse of the member, the surviving spouse shall
22 receive his or her portion of the account balance of the member
23 pursuant to subsection F of this section. The surviving spouse,
24 whether or not he or she is a designated recipient of the member,

1 may elect to receive his or her portion of the account balance of
2 the member in the same manner as was applicable to the member.

3 H. In lieu of participating in the Oklahoma Firefighters
4 Deferred Option Plan pursuant to subsections A, B, C, D, E and F of
5 this section, a member may elect to participate in the Oklahoma
6 Firefighters Deferred Option Plan pursuant to this subsection as
7 follows:

8 1. For purposes of this subsection and subsection I of this
9 section, the following definitions shall apply:

10 a. "back drop date" means the member's normal retirement
11 date or the date five (5) years before the member
12 elects to participate in the Oklahoma Firefighters
13 Deferred Option Plan, whichever date is later,

14 b. "termination date" means the date the member elects to
15 participate in the Oklahoma Firefighters Deferred
16 Option Plan pursuant to this subsection, and the date
17 the member terminates employment with all
18 participating municipalities as an active firefighter,

19 c. "earlier attained credited service" means the credited
20 service earned by a member as of the back drop date,
21 and

22 d. "deferred benefit balance" means all monthly
23 retirement benefits that would have been payable had
24 the member elected to cease employment on the back

1 drop date and receive a service retirement from the
2 back drop date to the termination date, all the
3 member's contributions and one-half (1/2) of the
4 employer contributions from the back drop date to the
5 termination date, with interest based on how the
6 benefit would have accumulated on a compound annual
7 basis as if the member had participated in the
8 Oklahoma Firefighters Deferred Option Plan pursuant to
9 subsections A, B, C, D, E and F of this section from
10 the back drop date to the termination date; and

11 2. At the termination date, the monthly pension benefit shall
12 be determined based on earlier attained credited service and on the
13 final average salary as of the back drop date. The member's
14 individual deferred option account shall be credited with an amount
15 equal to the deferred benefit balance, the member shall terminate
16 employment with all participating municipalities as a firefighter,
17 and shall start receiving the member's accrued monthly retirement
18 benefit from the System. Such a member may be reemployed by a
19 participating municipality but only in a position not covered under
20 the System, and receive in-service distributions of such member's
21 accrued monthly retirement benefit from the System. The provisions
22 of subsections B, C, E, F and G of this section shall apply to this
23 subsection. A member shall not participate in the Oklahoma
24 Firefighters Deferred Option Plan pursuant to this subsection if the

1 member has elected to participate in the Oklahoma Firefighters
2 Deferred Option Plan pursuant to subsections A, B, C, D, E and F of
3 this section.

4 I. ~~Certain surviving spouses and members~~ Members not
5 participating in the Oklahoma Firefighters Deferred Option Plan
6 pursuant to subsections A, B, C, D, E and F of this section, certain
7 surviving spouses, and certain surviving children shall be eligible
8 to participate in the Oklahoma Firefighters Deferred Option Plan
9 pursuant to subsection H of this section and this subsection.

10 1. For purposes of this subsection, the following definitions
11 shall apply:

- 12 a. "back drop election date" means the date the surviving
13 spouse or member elects, or all of a member's
14 established children unanimously elect, to commence
15 participation in the Oklahoma Firefighters Deferred
16 Option Plan pursuant to subsection H of this section
17 and this subsection,
- 18 b. "interest" means interest at a rate of two percentage
19 points below the rate of return of the investment
20 portfolio of the System, but no less than the
21 actuarial assumed interest rate as certified by the
22 actuary in the yearly evaluation report of the
23 actuary,

- 1 c. "monthly adjustment amount" means the difference
2 between the monthly pension prior to the back drop
3 election and the adjusted monthly pension due to the
4 back drop election,
- 5 d. "back drop pension adjustment amount" means the sum of
6 all the monthly adjustment amounts adjusted for
7 interest from the pension commencement date to the
8 back drop election date, ~~and~~
- 9 e. "deferred benefit balance adjustment amount" means the
10 interest on the deferred benefit balance from the
11 pension commencement date to the back drop election
12 date, and
- 13 f. "established child" means, in the case of a deceased
14 member who does not have a surviving spouse, any
15 surviving biological or adopted child of such member
16 who is alive on the date of the election described in
17 subparagraph b of paragraph 2 of this subsection and
18 who is a beneficiary of such member, as defined in
19 Section 49-100.1 of this title, or who would be a
20 beneficiary of such member under Section 49-100.1 of
21 this title if the age requirements set forth therein
22 did not apply.

23 2. If a member who has more than twenty (20) years of
24 creditable service and is eligible to receive a service retirement

1 pension dies on or after June 4, 2007, and prior to terminating
2 employment, ~~the~~ the:

3 a. The member's surviving spouse shall be eligible to
4 elect to receive a benefit determined as if the member
5 had elected to participate in the Oklahoma
6 Firefighters Deferred Option Plan in accordance with
7 subsection H of this section on the day immediately
8 preceding such member's death. Prior to July 1, 2010,
9 the surviving spouse must make any such election
10 within one (1) year from the date of the member's
11 death. Effective July 1, 2010, the surviving spouse
12 must make any such election within ninety (90) days
13 from the date of the member's death. If on or after
14 June 4, 2007, such election is made, the monthly
15 pension such surviving spouse is entitled to receive
16 shall be adjusted in accordance with the provisions of
17 subsection H of this section to account for the
18 member's participation in the Oklahoma Firefighters
19 Deferred Option Plan. The surviving spouse may only
20 make this election if the member has not previously
21 elected to participate in the Oklahoma Firefighters
22 Deferred Option Plan. For purposes of this election,
23 the surviving spouse must have been married to the
24 firefighter for the thirty (30) continuous months

1 preceding the firefighter's death; provided, the
2 surviving spouse of a member who died while in, or as
3 a consequence of, the performance of the member's duty
4 for a participating municipality shall not be subject
5 to the marriage limitation for this election; or

6 b. Effective July 1, 2026, a member's established
7 children shall be eligible to elect to participate in
8 the Oklahoma Firefighters Deferred Option Plan
9 pursuant to subsection H of this section and this
10 subsection so long as the member did not participate
11 in the Oklahoma Firefighters Deferred Option Plan
12 pursuant to subsections A, B, C, D, E and F of this
13 section and provided that none of the established
14 children is receiving, or by reason of an existing
15 disability will be eligible to receive upon attaining
16 eighteen (18) years of age, disabled survivor pension
17 benefits pursuant to Section 49-112 of this title.
18 For the election to be effective, all established
19 children must unanimously elect in writing within two
20 (2) years from the member's date of death to make such
21 back drop election in accordance with any rules,
22 resolutions, or procedures promulgated or adopted by
23 the State Board. Once the election is timely made and
24 the State Board has determined that all established

1 children have been accounted for and made such
2 election, each established child shall, as soon as
3 practicable, receive an equal share of the deferred
4 benefit balance, taking into account any reductions or
5 adjustments to the deferred benefit balance described
6 in the paragraph below for an established child
7 receiving a survivor pension benefit. The State Board
8 may rely on any reasonable method to determine that
9 all established children have been accounted for;
10 provided, however, that the State Board may
11 conclusively rely on an order of any court of
12 competent jurisdiction in making such determination.
13 No interest shall accrue or be paid on the deferred
14 benefit balance with respect to any period after the
15 member's date of death. Any payment made to a
16 member's established child pursuant to this
17 subparagraph shall be included in the total payments
18 made with respect to a member pursuant to paragraph 4
19 of subsection A of Section 49-113 of this title. In
20 the event an established child is a beneficiary
21 entitled to receive survivor pension benefits for any
22 period, such established child's pension benefit shall
23 continue to be calculated pursuant to Section 49-112
24 of this title without regard to whether the election

1 is made; provided, however, that if a back drop
2 election is made pursuant to this subsection, the
3 difference between such established child's pension
4 benefit calculated pursuant to Section 49-112 of this
5 title and the pension benefit calculated pursuant to
6 subsection H of this section shall reduce the deferred
7 benefit balance. In calculating such reduction, the
8 sum of such pension benefits will be reduced to a
9 present value as of the member's date of death using
10 the actuarial assumed interest rate as of the member's
11 date of death as certified by the actuary in the
12 yearly evaluation report of the actuary, and assuming
13 that the pension benefit will continue until the
14 youngest of all established children attains twenty-
15 two (22) years of age and such other assumptions that
16 the State Board may promulgate or adopt by rule,
17 resolution, or procedure. The portion of the deferred
18 benefit balance an established child receives shall
19 not be reduced by the back drop pension adjustment
20 amount applicable to such established child other than
21 as a result of the reduction in the deferred benefit
22 balance.

23 c. Nothing in this paragraph or subsection is meant to
24 create any benefits not otherwise allowed by law.

1 3. If a member has more than twenty (20) years of creditable
2 service and is eligible for a retirement for disability monthly
3 pension pursuant to Section 49-109 of this title on or after June 4,
4 2007, such member shall be eligible to elect to receive a benefit
5 determined as if the member had elected to participate in the
6 Oklahoma Firefighters Deferred Option Plan, in accordance with
7 subsection H of this section, on the day immediately preceding the
8 date of the member's disability retirement, provided such election
9 is made within two (2) years from the date of the member's
10 disability retirement. The disability monthly pension such member
11 is receiving, or entitled to receive, shall be adjusted in
12 accordance with the provisions of subsection H of this section to
13 account for the member's participation in the Oklahoma Firefighters
14 Deferred Option Plan. The deferred benefit balance such member is
15 entitled to receive shall be reduced by the back drop pension
16 adjustment amount and increased by the deferred benefit balance
17 adjustment amount. The member may only make a back drop election if
18 the deferred benefit balance after the adjustment described in this
19 paragraph is greater than Zero Dollars (\$0.00). The member may only
20 make this election if the member has not previously elected to
21 participate in the Oklahoma Firefighters Deferred Option Plan.

22 4. If a member has more than twenty (20) years of creditable
23 service and filed a grievance for wrongful termination occurring on
24 or after June 4, 2007, or is not a member of a collective bargaining

1 organization as a firefighter, is involuntarily terminated and is
2 seeking to have his or her position as a firefighter reinstated
3 through a legal process, but is not reinstated as an active member,
4 such member shall be eligible to elect to receive a benefit
5 determined as if the member had elected to participate in the
6 Oklahoma Firefighters Deferred Option Plan in accordance with
7 subsection H of this section on the day immediately preceding the
8 date of the member's termination. Such election must be made within
9 two (2) years from the date of the member's termination as an active
10 member and, if the member's case pertaining to the member's
11 termination is on appeal to a court of competent jurisdiction,
12 within such period set by the State Board in its sole discretion.
13 The monthly pension such member is receiving, or entitled to
14 receive, shall be adjusted in accordance with the provisions of
15 subsection H of this section to account for the member's
16 participation in the Oklahoma Firefighters Deferred Option Plan.
17 The deferred benefit balance such member is entitled to receive
18 shall be reduced by the back drop pension adjustment amount and
19 increased by the deferred benefit balance adjustment amount. The
20 member may only make a back drop election if the deferred benefit
21 balance after the adjustment described in this paragraph is greater
22 than Zero Dollars (\$0.00). The member may only make this election
23 if the member has not previously elected to participate in the
24 Oklahoma Firefighters Deferred Option Plan.

1 5. Subparagraphs d and e of paragraph 1 and paragraphs 3 and 4
2 of this subsection are effective June 4, 2007, provided the Internal
3 Revenue Service issues a favorable determination letter for the
4 System which includes the provisions of such subparagraphs and
5 paragraphs without modification or as modified to conform to any
6 changes required by the Internal Revenue Service as part of its
7 determination letter review process. In the event the Internal
8 Revenue Service does not issue such a determination letter which
9 includes the provisions of such subparagraphs or paragraphs without
10 modification or as modified to conform to any changes required by
11 the Internal Revenue Service as part of its determination letter
12 review process, then subparagraphs d and e of paragraph 1 and
13 paragraphs 3 and 4 of this subsection shall be repealed effective
14 June 4, 2007.

15 SECTION 3. AMENDATORY 11 O.S. 2021, Section 50-111.3, is
16 amended to read as follows:

17 Section 50-111.3. A. In lieu of terminating employment and
18 accepting a service retirement pension pursuant to Section 50-114 of
19 this title, any member of the Oklahoma Police Pension and Retirement
20 System who has not less than twenty (20) years of creditable service
21 and who is eligible to receive a service retirement pension may make
22 an irrevocable election to participate in the Oklahoma Police
23 Deferred Option Plan and defer the receipts of benefits in
24 accordance with the provisions of this section.

1 B. For purposes of this section, creditable service shall
2 include service credit reciprocally recognized pursuant to Section
3 50-101 et seq. of this title but for eligibility purposes only.

4 C. The duration of participation in the Oklahoma Police
5 Deferred Option Plan for a member shall not exceed five (5) years.
6 Participation in the Oklahoma Police Deferred Option Plan must begin
7 the first day of a month and end on the last day of a month. At the
8 conclusion of a member's participation in the Oklahoma Police
9 Deferred Option Plan, the member shall terminate employment with all
10 participating municipalities as an officer, and shall start
11 receiving the member's accrued monthly retirement benefit from the
12 System. Such a member may receive in-service distributions of such
13 member's accrued monthly retirement benefit from the System if such
14 member is reemployed by a participating municipality only if such
15 reemployment is as a police chief or in a position not covered under
16 the System.

17 D. When a member begins participation in the Oklahoma Police
18 Deferred Option Plan, the contribution of the employee shall cease.
19 The employer contributions shall continue to be paid in accordance
20 with Section 50-109 of this title. Municipal contributions for
21 employees who elect the Oklahoma Police Deferred Option Plan shall
22 be credited equally to the Oklahoma Police Pension and Retirement
23 System and to the Oklahoma Police Deferred Option Plan. The monthly
24 retirement benefits that would have been payable had the member

1 elected to cease employment and receive a service retirement shall
2 be paid into the Oklahoma Police Deferred Option Plan account.

3 E. 1. A member who participates in this plan shall be eligible
4 to receive cost of living increases.

5 2. A member who participates in this plan shall earn interest
6 at a rate of two percentage points below the rate of return of the
7 investment portfolio of the System, but no less than the actuarial
8 assumed interest rate as certified by the actuary in the yearly
9 evaluation report of the actuary. The interest shall be credited to
10 the individual account balance of the member on an annual basis.

11 F. A participant in the Oklahoma Police Deferred Option Plan
12 shall receive, at the option of the participant:

13 1. A lump sum payment from the account equal to the option
14 account balance of the participant, payable to the participant;

15 2. A lump sum payment from the account equal to the option
16 account balance of the participant, payable to the annuity provider
17 which shall be selected by the participant as a result of the
18 research and investigation of the participant; or

19 3. Any other method of payment if approved by the State Board.

20 Notwithstanding any other provision contained herein to the
21 contrary, commencement of distributions under the Oklahoma Police
22 Deferred Option Plan shall be no later than the time as set forth in
23 subsection C of Section 50-114 of this title.

1 G. If the participant dies during the period of participation
2 in the Oklahoma Police Deferred Option Plan, a lump sum payment
3 equal to the account balance of the participant shall be paid to the
4 recipients, which may include a trust, properly designated in
5 writing by the participant or, if none, to the surviving spouse who
6 was married to the participant for the thirty (30) continuous months
7 immediately preceding the death of the participant; provided, a
8 surviving spouse of a participant who died in, and as a consequence
9 of, the performance of the participant's duty for a participating
10 municipality shall not be subject to the thirty-month marriage
11 requirement for survivor benefits or, if no surviving spouse, to the
12 estate of the participant.

13 H. In lieu of participating in the Oklahoma Police Deferred
14 Option Plan pursuant to subsections A, B, C, D, E and F of this
15 section, a member may make an irrevocable election to participate in
16 the Oklahoma Police Deferred Option Plan pursuant to this subsection
17 as follows:

18 1. For purposes of this subsection, the following definitions
19 shall apply:

20 a. "back drop date" means the date selected by the
21 member, which is up to five (5) years before the
22 member elects to participate in the Oklahoma Police
23 Deferred Option Plan, but not before the date at which
24

1 the member completes twenty (20) years of credited
2 service,

3 b. "termination date" means the date the member elects to
4 participate in the Oklahoma Police Deferred Option
5 Plan pursuant to this subsection, and the date the
6 member terminates employment with all participating
7 municipalities as an active police officer, such
8 termination has at all times included reemployment of
9 a member by a participating municipality only if such
10 reemployment is as a police chief or in a position not
11 covered under the System,

12 c. "earlier attained credited service" means the credited
13 service earned by a member as of the back drop date,
14 and earlier attained credited service cannot be
15 reduced to less than twenty (20) years of credited
16 service, ~~and~~

17 d. "deferred benefit balance" means all monthly
18 retirement benefits that would have been payable had
19 the member elected to cease employment on the back
20 drop date and receive a service retirement from the
21 back drop date to the termination date, all of the
22 member's contributions and one-half (1/2) of the
23 employer contributions from the back drop date to the
24 termination date, with interest based on how the

1 benefit would have accumulated as if the member had
2 participated in the Oklahoma Police Deferred Option
3 Plan pursuant to subsections A, B, C, D and E of this
4 section from the back drop date to the termination
5 date, and

6 e. "established child" means, in the case of a deceased
7 member who does not have a surviving spouse, any
8 surviving biological or adopted child of such member
9 who is alive on the date of the election described in
10 paragraph 4 of this subsection and who is a
11 beneficiary of such member as defined in Section 50-
12 101 of this title, or who would be a beneficiary of
13 such member under Section 50-101 of this title if the
14 age requirements set forth therein did not apply;

15 2. At the termination date, the monthly pension benefit shall
16 be determined based on earlier attained credited service and on the
17 final average salary as of the back drop date. The member's
18 individual deferred option account shall be credited with an amount
19 equal to the deferred benefit balance; the member shall terminate
20 employment with all participating municipalities as a police officer
21 and shall start receiving the member's accrued monthly retirement
22 benefit from the System. The provisions of subsections B, C, E, F
23 and G of this section shall apply to this subsection. A member
24 shall not participate in the Oklahoma Police Deferred Option Plan

1 pursuant to this subsection if the member has elected to participate
2 in the Oklahoma Police Deferred Option Plan pursuant to subsections
3 A, B, C, D, E and F of this section; ~~and~~

4 3. If a member who has not less than twenty (20) years of
5 creditable service and who is eligible to receive a service
6 retirement pension dies prior to terminating employment, the
7 surviving spouse shall be eligible to elect to receive a benefit
8 determined as if the member had elected to participate in the
9 Oklahoma Police Deferred Option Plan in accordance with this
10 subsection on the day immediately preceding the death. The
11 surviving spouse must have been married to the member for the thirty
12 (30) continuous months preceding the member's death; provided, the
13 surviving spouse of a member who died while in, and as a consequence
14 of, the performance of the member's duty for a participating
15 municipality shall not be subject to the thirty-month marriage
16 requirement for this election; and

17 4. Effective July 1, 2026, if a member who has not less than
18 twenty (20) years of creditable service and who is eligible to
19 receive a service retirement pension dies prior to terminating
20 employment, such member's established children shall be eligible to
21 elect to participate in the Oklahoma Police Deferred Option Plan
22 pursuant to this subsection so long as the member did not
23 participate in the Oklahoma Police Deferred Option Plan pursuant to
24 subsections A, B, C, D, E and F of this section and provided that

1 none of the established children are receiving, or will be eligible
2 to receive, a pension annuity for life from the System. For the
3 election to be effective, all established children must unanimously
4 elect in writing within two (2) years from the member's date of
5 death to make such back drop election in accordance with any rules,
6 resolutions, or procedures promulgated or adopted by the State
7 Board. Once the election is timely made and the State Board has
8 determined that all established children have been accounted for and
9 made such election, each established child shall, as soon as
10 practicable, receive an equal share of the deferred benefit balance,
11 taking into account any reductions or adjustments to the deferred
12 benefit balance described in the paragraph below for an established
13 child receiving a survivor pension benefit. The State Board may
14 rely on any reasonable method to determine that all established
15 children have been accounted for; provided, however, that the State
16 Board may conclusively rely on an order of any court of competent
17 jurisdiction in making such determination. No interest shall accrue
18 or be paid on the deferred benefit balance with respect to any
19 period after the member's date of death. Any payment made to a
20 member's established child pursuant to this subparagraph shall be
21 included in the total benefits paid with respect to a member
22 pursuant to subsection D of Section 50-114 of this title.

23 In the event an established child is a beneficiary entitled to
24 receive survivor pension benefits for any period, such established

1 child's pension benefit shall continue to be calculated pursuant to
2 Section 50-117 of this title without regard to whether the election
3 is made; provided, however, that if a back drop election is made
4 pursuant to this subsection, the difference between such established
5 child's pension benefit calculated pursuant to Section 50-117 of
6 this title and the pension benefit calculated pursuant to this
7 subsection shall reduce the deferred benefit balance. In
8 calculating such reduction, the sum of such pension benefits will be
9 reduced to a present value as of the member's date of death using
10 the actuarial assumed interest rate as of the member's date of death
11 as certified by the actuary in the yearly evaluation report of the
12 actuary, and assuming that the pension benefit will continue until
13 the youngest of all established children attains twenty-two (22)
14 years of age and such other assumptions that the State Board may
15 promulgate or adopt by rule, resolution, or procedure. The portion
16 of the deferred benefit balance an established child receives shall
17 not be reduced by the back drop pension adjustment amount applicable
18 to such established child other than as a result of the reduction in
19 the deferred benefit balance.

20 Nothing in this paragraph or subsection is meant to create any
21 benefits not otherwise allowed by law.

22 SECTION 4. AMENDATORY 47 O.S. 2021, Section 2-305.2, as
23 amended by Section 1, Chapter 80, O.S.L. 2022 (47 O.S. Supp. 2025,
24 Section 2-305.2), is amended to read as follows:

1 Section 2-305.2. A. In lieu of terminating employment and
2 accepting a service retirement pension pursuant to Section 2-305 of
3 this title, any member of the Oklahoma Law Enforcement Retirement
4 System who has not less than twenty (20) years of participating
5 service and who is eligible to receive a service retirement pension
6 may make an irrevocable election to participate in the Oklahoma Law
7 Enforcement Deferred Option Plan and defer the receipts of benefits
8 in accordance with the provisions of this section.

9 B. For purposes of this section, participating service shall
10 include service credit recognized pursuant to paragraphs (c) and (d)
11 of Section 2-307, subsection B of Section 2-307.2, and Sections 2-
12 309.1, 2-309.2, 2-309.3, 2-309.4, 2-309.5 and 2-309.6 of this title
13 but for eligibility purposes only.

14 C. The duration of participation in the Oklahoma Law
15 Enforcement Deferred Option Plan for a member shall not exceed five
16 (5) years. Participation in the Oklahoma Law Enforcement Deferred
17 Option Plan must begin the first day of a month and end on the last
18 day of the month. At the conclusion of a member's participation in
19 the Oklahoma Law Enforcement Deferred Option Plan, the member shall
20 terminate employment as a member of the Oklahoma Law Enforcement
21 Retirement System, and shall start receiving the member's accrued
22 monthly retirement benefit from the System. Such a member may
23 continue to receive in-service distributions of such member's
24 accrued monthly retirement benefit from the System if the member is

1 reemployed by a state agency only if such reemployment is in a
2 position not covered under the System.

3 D. When a member begins participation in the Oklahoma Law
4 Enforcement Deferred Option Plan, the contribution of the member
5 shall cease. The employer contributions shall continue to be paid
6 in accordance with Section 2-304 of this title. Employer
7 contributions for members who elect the Oklahoma Law Enforcement
8 Deferred Option Plan shall be credited equally to the Oklahoma Law
9 Enforcement Retirement System and to the member's Oklahoma Law
10 Enforcement Deferred Option Plan account. The monthly retirement
11 benefits that would have been payable had the member elected to
12 cease employment and receive a service retirement shall be paid into
13 the member's Oklahoma Law Enforcement Deferred Option Plan account.

14 E. 1. A member who participates in this plan shall be eligible
15 to receive cost of living increases.

16 2. A member who participates in this plan shall earn interest
17 at a rate of two percentage points below the rate of return of the
18 investment portfolio of the System, but no less than the assumed
19 interest rate. The assumed interest rate shall be seven and five-
20 tenths percent (7.5%) until the Board amends the assumed interest
21 rate prospectively by resolution. The interest shall be credited to
22 the individual account balance of the member on an annual basis.

23 F. A member in the Oklahoma Law Enforcement Deferred Option
24 Plan shall receive, at the option of the member:

1 1. A lump-sum payment from the account equal to the option
2 account balance of the member, payable to the member;

3 2. A lump-sum payment from the account equal to the option
4 account balance of the member, payable to the annuity provider which
5 shall be selected by the member as a result of the research and
6 investigation of the member; or

7 3. Any other method of payment if approved by the Board.

8 Notwithstanding any other provision contained herein to the
9 contrary, commencement of distributions under the Oklahoma Law
10 Enforcement Deferred Option Plan shall be no later than the time as
11 set forth in paragraph 7 of Section 2-300 of this title.

12 If a member meets the definition of disability as defined in
13 paragraph 11 of Section 2-300 of this title by direct reason of the
14 performance of the member's duties, the payment from the account
15 shall be an in-line-of-duty disability payment.

16 G. If the member dies during the period of participation in the
17 Oklahoma Law Enforcement Deferred Option Plan, a lump-sum payment
18 equal to the account balance of the member shall be paid to the
19 designated beneficiary as defined in paragraph 17 of Section 2-300
20 of this title, or if there is no designated beneficiary or the
21 designated beneficiary predeceases the member, to the estate of the
22 member. If such member was receiving, or eligible to receive, an
23 in-line-of-duty disability pension pursuant to subsection E or F of
24

1 Section 2-305 of this title at the time of death, payment of the
2 account balance shall be an in-line-of-duty disability payment.

3 H. In lieu of participating in the Oklahoma Law Enforcement
4 Deferred Option Plan pursuant to subsections A, B, C, D, E and F of
5 this section, a member may make an irrevocable election to
6 participate in the Oklahoma Law Enforcement Deferred Option Plan
7 pursuant to this subsection as follows:

8 1. For purposes of this subsection, the following definitions
9 shall apply:

10 a. "back drop date" means the date selected by the member
11 which is up to five (5) years before the member elects
12 to participate in the Oklahoma Law Enforcement
13 Deferred Option Plan, but not before the date at which
14 the member completes twenty (20) years of
15 participating service,

16 b. "termination date" means the date the member elects to
17 participate in the Oklahoma Law Enforcement Deferred
18 Option Plan pursuant to this subsection and the date
19 the member terminates employment and starts receiving
20 the member's accrued monthly retirement benefit from
21 the System. Such termination has at all times
22 included reemployment of a member by a state agency,
23 but only in a position not covered under the System,
24

- 1 c. "earlier attained participating service" means the
2 participating service earned by a member as of the
3 back drop date. Earlier attained participating
4 service cannot be reduced to less than twenty (20)
5 years of participating service, ~~and~~
- 6 d. "deferred benefit balance" means all retirement
7 benefits that would have been paid from the back drop
8 date to the termination date, and one-half (1/2) of
9 the employer contributions from the back drop date to
10 the termination date, with interest based on how the
11 benefit would have accumulated on a compound annual
12 basis as if the member had participated in the
13 Oklahoma Law Enforcement Deferred Option Plan pursuant
14 to subsections A, B, C, D and E of this section from
15 the back drop date to the termination date; and
- 16 e. "established child" means, in the case of a deceased
17 member who does not have a surviving spouse, any
18 surviving biological or adopted child of such member
19 who is alive on the date of the election described in
20 paragraph 4 of this subsection and who is a
21 beneficiary of such member as defined in Section 2-300
22 of this title, or who would be a beneficiary of such
23 member under Section 2-300 of this title if the age
24 requirements set forth therein did not apply;

1 2. At the termination date, a member's monthly pension benefit
2 shall be determined based on the earlier attained participating
3 service and on the final average salary as of the back drop date.
4 The member's individual deferred option account shall be credited
5 with an amount equal to the deferred benefit balance; the member
6 shall terminate employment and shall start receiving the member's
7 accrued monthly retirement benefit from the System. The member
8 shall, upon application filed with the Board, be refunded from the
9 fund an amount equal to the accumulated contributions the member
10 made to the fund from the back drop date to the termination date,
11 but excluding any interest. Such termination has at all times
12 included reemployment of a member by a state agency, but only in a
13 position not covered under the System. The provisions of
14 subsections B, C, E, F and G of this section shall apply to this
15 subsection; ~~and~~

16 3. A member may participate in the Oklahoma Law Enforcement
17 Deferred Option Plan pursuant to this subsection even if the member
18 has elected to participate in the Oklahoma Law Enforcement Deferred
19 Option Plan pursuant to subsections A, B, C, D, E and F of this
20 section. Such a member may select a back drop date which is up to
21 five (5) years prior to the termination date, but not before the
22 date at which the member completes twenty (20) years of
23 participating service. Such a member's participation in the
24 Oklahoma Law Enforcement Deferred Option Plan may not exceed five

1 (5) years when combined with such a member's prior period of
2 participation in the Oklahoma Law Enforcement Deferred Option Plan.
3 The provisions of subsections B, C, E, F and G of this section shall
4 apply to this subsection; and

5 4. Effective July 1, 2026, if a member who has not less than
6 twenty (20) years of creditable service and who is eligible to
7 receive a service retirement pension dies prior to terminating
8 employment, such member's established children shall be eligible to
9 elect to participate in the Oklahoma Law Enforcement Deferred Option
10 Plan pursuant to this subsection so long as the member did not
11 participate in the Oklahoma Law Enforcement Deferred Option Plan
12 pursuant to subsections A, B, C, D, E and F of this section and
13 provided that none of the established children or the deceased
14 member's dependent parents are receiving, or will be eligible to
15 receive, a pension annuity for life from the System. For the
16 election to be effective, all established children must unanimously
17 elect in writing within two (2) years from the member's date of
18 death to make such back drop election in accordance with any rules,
19 resolutions, or procedures promulgated or adopted by the State
20 Board. Once the election is timely made and the State Board has
21 determined that all established children have been accounted for and
22 made such election, each established child shall, as soon as
23 practicable, receive an equal share of the deferred benefit balance,
24 taking into account any reductions or adjustments to the deferred

1 benefit balance described in the paragraph below for an established
2 child receiving a survivor pension benefit. The State Board may
3 rely on any reasonable method to determine that all established
4 children have been accounted for; provided, however, that the State
5 Board may conclusively rely on an order of any court of competent
6 jurisdiction in making such determination. No interest shall accrue
7 or be paid on the deferred benefit balance with respect to any
8 period after the member's date of death. Any payment made to a
9 member's established child pursuant to the subparagraph shall be
10 included in the total retirement payments made with respect to a
11 member pursuant to Section 2-306.2 of this title.

12 In the event an established child is a beneficiary entitled to
13 receive survivor pension benefits for any period, such established
14 child's pension benefit shall continue to be calculated pursuant to
15 Section 2-306 of this title without regard to whether the election
16 is made; provided, however, that if a back drop election is made
17 pursuant to this subsection, the difference between such established
18 child's pension benefit calculated pursuant to Section 2-306 of this
19 title and the pension benefit calculated pursuant to this subsection
20 shall reduce the deferred benefit balance. In calculating such
21 reduction, the sum of such pension benefits will be reduced to a
22 present value as of the member's date of death using the actuarial
23 assumed interest rate as of the member's date of death as certified
24 by the actuary in the yearly evaluation report of the actuary, and

1 assuming that the pension benefit will continue until the youngest
2 of all established children attains twenty-two (22) years of age and
3 such other assumptions that the State Board may promulgate or adopt
4 by rule, resolution, or procedure. The portion of the deferred
5 benefit balance an established child receives shall not be reduced
6 by the back drop pension adjustment amount applicable to such
7 established child other than as a result of the reduction in the
8 deferred benefit balance.

9 Nothing in this paragraph or subsection is meant to create any
10 benefits not otherwise allowed by law.

11 SECTION 5. If the Emergency Clause is not approved pursuant to
12 the requirements of the Oklahoma Constitution as part of this
13 measure, the effective date of Section 1 of this act shall be
14 October 1, 2026.

15 SECTION 6. If the Emergency Clause is not approved pursuant to
16 the requirements of the Oklahoma Constitution as part of this
17 measure, the effective date of Sections 2 through 4 of this act
18 shall be November 1, 2026.

19 SECTION 7. Except as otherwise provided by Section 5 of this
20 act, Section 1 of this act shall become effective immediately upon
21 signature by the Governor or as otherwise provided by Section 58 of
22 Article V of the Oklahoma Constitution.

SECTION 8. Except as otherwise provided by Section 6 of this act, Sections 2 through 4 of this act shall become effective July 1, 2026.

SECTION 9. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the House of Representatives the 17th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the _____ day of _____, 2026.

Presiding Officer of the Senate